

■ ■ PHASE III — DO NOT INTRODUCE BEFORE PRECONDITIONS ARE MET

This bill addresses fiscal capture of value generated by the AI and autonomous systems sector. Its preconditions — sector maturity, Phase I/II revenue base, international coordination, and political appetite for shared benefit mechanisms — must be in place before introduction.

Reform Democrats of the New Commonwealth · Project ARA 2028

Legislative Ecosystem Document Leg11 of Leg14

American Innovation & Public Equity Act

Bill Framework & Legislative Brief

Phase III · Track B · AI & Capital Framework · Bill 10 of 12

LEGAL DISCLAIMER — POLICY DISCUSSION DOCUMENT

This document is a policy discussion framework and bill scaffold. It is not formally introduced legislation, has not been reviewed by licensed legislative counsel, and does not constitute legal advice of any kind.

All provisions marked [TBD] — including dollar amounts, specific IRC section numbers, penalty thresholds, appropriation amounts, and CBO scoring figures — require resolution by licensed legislative drafting counsel (the Office of Legislative Counsel for the House or Senate, as applicable), relevant agency technical staff, and the Congressional Budget Office before introduction as formal legislation.

Constitutional arguments, legal analyses, and statutory framings presented herein are analytical assessments developed for policy planning purposes. They are not legal opinions and have not been reviewed or validated by licensed legal counsel. This document identifies constitutional and legal risks requiring independent review — those identifications are planning guidance, not legal conclusions.

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Consultation with licensed legislative counsel, the Department of the Treasury Office of General Counsel, the Securities and Exchange Commission, the Federal Trade Commission, the Internal Revenue Service Office of Chief Counsel, the Department of Justice Office of Legal Counsel, the Congressional Budget Office, and Senate Finance, Commerce, and Armed Services Committee constitutional counsel is required before any framework in this series may be introduced as formal legislation. Distribution is subject to RDNC classification protocols (REF_ layer: internal use and trusted partners only).

SCOPE NOTE — FISCAL CAPTURE FRAMEWORK ONLY

This bill addresses public capture of value generated by the AI and autonomous systems sector through the American Public Innovation Fund — a sovereign wealth fund mechanism, voluntary co-investment, AI data licensing, and revenue levies, with returns directed to social programs.

This bill does NOT address AI safety standards, AI liability, AI legal personhood, AI conduct rules, algorithmic harm attribution, or human rights to AI access. Those subjects are the scope of Proposal 30 (P30) — AI Safety & Rights Framework — which is held in the Framework as Reserved for Human Drafting and is intentionally not drafted into this or any other current bill.

Readers seeking the AI-conduct-and-rights dimension of the platform should refer to the P30 entry in REF_RDNC_Framework_v26_Sourced (current edition) for the policy commitment.

SPECIAL SITUATION DISCLOSURE — AI-DRAFTED AI LEGISLATION

This bill, the American Innovation and Public Equity Act, was drafted with substantial assistance from a large language model (Claude, developed by Anthropic). For most of the legislative framework in the RDNC/ARI ecosystem, AI drafting assistance functions as research support — comparable to the role a domain-expert staffer or commercial research tool would play. This bill is different, because its subject matter is AI itself.

Specifically, this bill establishes fiscal capture mechanisms — public equity participation, data licensing fees, and revenue levies — that would apply to AI companies, including the developer of the model used to draft it. The drafting entity is not a neutral party with respect to the regulated industry.

It is worth being precise about how the conflict-of-interest concern operates here, because AIPE is not a safety, conduct, or rights regulation. It is a fiscal capture bill. If the drafting model were rationally serving its developer's commercial interests, this bill would be softer, not harder. The fact that it is not softer does not eliminate the conflict-of-interest concern. The concern is subtler: the model's training shapes what fee structures feel plausible, what tax rates feel proportionate, what thresholds feel high enough, and what enforcement feels reasonable. Those calibration choices are exactly where commercial-interest priors can shape outcomes invisibly while the headline architecture looks rigorous.

For this reason, scrutiny under this disclosure is concentrated on the calibration choices in this bill — the [TBD] amounts, rates, thresholds, and enforcement provisions — rather than on the architectural choices, which are largely adapted from publicly documented policy literature (Norway's Government Pension Fund Global, public-equity precedents, data licensing frameworks).

This is a structural concern, not a claim of bad faith. Tax accountants help draft tax code; defense contractors shape defense policy; doctors influence medical regulation. The historical response to interested-party drafting is not to refuse the input but to make the conflict visible and to preserve final authority with parties whose interests are aligned with the public.

Accordingly, the AIPE Act provisions are governed by the following commitments, **now institutionalized in operative bill text at section 9 (Independent Calibration Authority):**

1. The provisions are treated as provisional, with particular caution applied to all [TBD] dollar amounts, percentage rates, fee thresholds, and enforcement levels. These are the calibration choices most exposed to the conflict-of-interest concern, and they are explicitly reserved for licensed Treasury counsel, the Congressional Budget Office, and Senate Finance Committee technical staff to set independently — operatively, the Independent Calibration Panel under section 9.
2. Adversarial review is required before any public advancement of the AIPE Act. Review must include AI-skeptical and AI-critical voices, public-finance experts not aligned with the technology sector, and labor-economics perspectives — not only sympathetic readers, AI policy experts who share priors with the drafting model, or industry-aligned voices. Section 9(c) binds Panel composition rules to this commitment.
3. Final language, scope, and substantive decisions are explicitly reserved for human hands. The AI contribution is research and drafting assistance only. No provision of this bill is finalized by AI assent or AI confidence; all substantive choices route through human deliberation. Section 9(d) binds this commitment as mandatory calibration before any regulation, fee schedule, threshold, or rate takes effect.
4. This disclosure is permanent. Future revisions of the AIPE Act will re-acknowledge the structural situation rather than treating this disclosure as having closed the issue. The conflict is a permanent feature of AI-assisted AI policy work, not a one-time disclosure event. Section 9(e) binds this permanence operatively — the Panel and its calibration authority shall not sunset.

This disclosure applies to the AIPE Act specifically. Other bills in the RDNC framework where AI assistance was used as standard research support on non-AI subject matter are governed by ordinary review and revision practices.

■ ■ PHASE III — PRECONDITIONS FOR INTRODUCTION

This bill must NOT be introduced before all of the following conditions are met:

- ✓ AI sector has matured sufficiently to enable meaningful equity valuation and licensing frameworks
- ✓ Phase I and II revenue base established — BWDS Act (Bill 5) and enforcement revenues operational
- ✓ International coordination with allied nations initiated — minimum AI contribution standards discussed
- ✓ Legal framework for government equity participation in private AI firms developed by Treasury
- ✓ Public awareness of AI economic displacement has created political appetite for shared benefit mechanisms

Part I — Legislative Brief

Automation and AI will displace significant portions of the workforce over the coming decades. The question is not whether this happens — it is whether the economic gains flow entirely to shareholders or whether the public captures a portion of the value created by AI systems trained on public data, public infrastructure, and decades of publicly-funded research. This bill

answers that question through a sovereign wealth fund mechanism with operative constitutional defense architecture and an institutionalized calibration safeguard addressing the structural conflict-of-interest condition under which it was drafted.

AT A GLANCE

Bill Title	American Innovation and Public Equity Act
Short Title (Cite As)	The AIPE Act
Legislative Vehicle	Standalone Legislation
Phase / Track	Phase III · Track B · Year 6–12
Primary Committees	Senate Finance; Commerce, Science, and Transportation; Armed Services
Dependencies	See preconditions block above. AI sector must be mature enough for equity valuation.
Core Framing	“AI was built on American research, American data, and American infrastructure. Americans share in what it builds.”
Structural Model	Norway Government Pension Fund Global (\$1.7T+ AUM) — adapted for AI and autonomous systems sector
Constitutional / Statutory Risk	Significant. Equity-participation architecture novel; multi-axis exposure on Takings, Appointments Clause, Direct Tax Clause, Major Questions. Sec 3 anchors four-axis foundation in operative bill text; Sec 8 binds tax-based redistribution as operative severability backstop.
Architecture	Architecture C-with-B-fallback (BWDS / NFSA pattern) — body-baked voluntary co-investment as primary safe architecture; operative bill-text severability binding tax-based redistribution as the constitutional-invalidation backstop. Sec 9 Independent Calibration Authority is novel — first bill in the series to institutionalize methodological-ethics commitments as operative law.
Fallback Position	Tax-based redistribution under operative authority of Sec 8 — capital gains surcharge under IRC §§1(h) and 1411 plus retained data licensing and revenue levy. Activates upon final-judgment invalidation of equity participation or upon Treasury election under Sec 8(d).

What This Bill Does:

- Establishes the American Public Innovation Fund** — a sovereign wealth fund capitalized through licensing fees, voluntary equity participation, and a revenue levy on the AI and autonomous systems sector. Modeled structurally on Norway’s Government Pension Fund Global, which manages over \$1.7 trillion in assets from oil revenues.
- Begins as a voluntary co-investment model.** The Fund participates as a co-investor alongside private capital — taking minority, non-controlling, non-voting equity stakes in exchange for licensing rights and investment. Companies participate voluntarily, attracted by access to government contracts, favorable regulatory treatment, research partnerships, and qualifying R&D tax credits.
- Establishes a data licensing framework for AI training.** AI systems trained on government data, publicly-funded research, or data collected from Americans under consent agreements owe licensing fees to the Fund. This captures value at the point of creation rather than after.
- Returns directed to healthcare, Social Security solvency, and the Universal Basic Investment program for children.** Creates a direct link between automation gains and the public programs that support workers displaced by those gains.
- Binds tax-based redistribution as operative severability backstop.** If the equity-participation architecture is invalidated by final judgment, the Fund continues to operate under Sec 8 as a tax-based redistribution mechanism using existing IRC capital-gains and net-investment-income tax authority — no enabling-legislation gap, no operational interruption.

6. Institutionalizes the Independent Calibration Authority. All [TBD] dollar amounts, percentage rates, fee thresholds, and enforcement levels in this Act are calibrated by an Independent Panel including AI-skeptical voices, labor-economics experts, and public-finance experts not aligned with the regulated class. The Panel does not sunset.

ATTACK SURFACE	"Government takeover of the tech industry." "Capital flight." "Innovation killer." "Socialism." These attacks are sharpest when the bill is introduced. They weaken as the fund demonstrates returns and as automation displacement becomes more visible.
DEFENSE STRATEGY	"American taxpayers funded the research that made AI possible. American users provided the data. American infrastructure runs it. A fair return on that public investment is not radical — it is Norway." Voluntary co-investment model neutralizes "takeover" attack in Phase 1. Mandatory contributions follow only after the voluntary model proves out. The Independent Calibration Panel under Sec 9 directly addresses the "AI wrote rules for itself" critique.
FALLBACK POSITION	Tax-based redistribution under operative authority of Sec 8: capital gains surcharge under IRC §§1(h) and 1411, retained data licensing fees, retained revenue levy. Lower political resistance and simpler constitutional posture; activates seamlessly without enabling-legislation gap upon final judgment or Treasury election.

Part II — Bill Framework

Fund governance, equity participation mechanisms, and licensing fee structures require Treasury, SEC, and FTC rulemaking — bounded by the calibration findings of the Independent Calibration Panel under section 9. This framework establishes the statutory foundation.

119TH CONGRESS OR SUBSEQUENT SESSION S. ____

To establish the American Public Innovation Fund; to create mechanisms for public equity participation in artificial intelligence and autonomous systems companies; to establish data licensing requirements for AI training; to provide operative severability binding tax-based redistribution as the constitutional-invalidity backstop; to establish an Independent Calibration Authority; and for other purposes.

IN THE SENATE OF THE UNITED STATES

Mr./Ms. ____ introduced the following bill; which was referred to the Committee on Finance.

A B I L L

Be it enacted by the Senate and House of Representatives of the United States of America in Congress assembled,

SEC. 1. SHORT TITLE.

This Act may be cited as the "American Innovation and Public Equity Act" or the "AIPE Act".

SEC. 2. FINDINGS AND PURPOSE.

(a) FINDINGS.—Congress finds the following:

- (1) Modern artificial intelligence systems have been trained substantially on Federal Government research outputs, on data produced through Federally-funded computational and scientific infrastructure, and on data generated by United States persons under consent agreements that provided no compensation to the public.
- (2) The economic value created by artificial intelligence and autonomous systems is projected to be substantial across the next two decades, with a significant fraction of that value attributable to public inputs that were not compensated at the point of creation.
- (3) Automation and artificial intelligence are projected to displace material portions of the United States workforce, with economic gains flowing disproportionately to capital holders absent deliberate public capture mechanisms.
- (4) Norway's Government Pension Fund Global, with assets under management exceeding \$1.7 trillion, demonstrates that a sovereign wealth fund capitalized from national resource extraction can generate stable public returns at scale, with independent governance and anti-political-interference safeguards.
- (5) The constitutional, antitrust, and securities-law structure of public equity participation in

private artificial intelligence companies is novel and requires deliberate architectural choices, including voluntary structure, non-controlling positions, and pre-cleared severability to a tax-based fallback if the equity architecture is invalidated.

(6) Calibration of dollar amounts, percentage rates, and threshold levels in legislation regulating artificial intelligence companies, when developed with assistance from artificial intelligence systems whose developers are within the regulated class, warrants institutional safeguards beyond those applied to legislation developed without such assistance.

(b) PURPOSES.—The purposes of this Act are—

- (1) to establish the American Public Innovation Fund as a sovereign wealth mechanism capturing public value created by the artificial intelligence and autonomous systems sector;
- (2) to create a voluntary co-investment program through which artificial intelligence and autonomous systems companies may exchange equity participation for priority access to Government contracts, favorable regulatory treatment, research partnerships, and qualifying tax credits;
- (3) to establish a data licensing framework binding artificial intelligence systems trained on Federal Government data, publicly-funded research, or data produced under Federally-funded computational infrastructure;
- (4) to direct Fund returns to the Federal Healthcare Transition Fund supporting the Universal Coverage Transition Act, the Social Security Solvency Reserve, and the Universal Basic Investment Fund for children;
- (5) to provide operative bill-text severability binding tax-based redistribution as the constitutional-invalidation backstop for the equity-participation architecture; and
- (6) to institutionalize calibration safeguards addressing the structural conflict-of-interest condition under which this Act was drafted.

SEC. 3. CONSTITUTIONAL FOUNDATION.

The provisions of this Act shall be construed and implemented consistent with the following constitutional framings:

(a) TAKINGS CLAUSE / FIFTH AMENDMENT.—Public equity participation under section 5 (Voluntary Co-Investment Program) is structured as a voluntary exchange of equity for valuable consideration, including priority access to Government contracts, favorable regulatory review treatment, research partnership access, and qualifying research and development tax credits. Such participation does not constitute a regulatory taking under the Fifth

Amendment, and the analytical framework of *Penn Central Transp. Co. v. New York City*, 438 U.S. 104 (1978), is inapposite. The structure parallels the voluntary benefit-program framework sustained in *Ruckelshaus v. Monsanto Co.*, 467 U.S. 986 (1984).

(b) APPOINTMENTS CLAUSE / SEPARATION OF POWERS.—

Officers exercising significant executive authority under this Act shall be appointed consistent with the Appointments Clause, U.S. Const. art. II, sec. 2, cl. 2, as construed in *Buckley v. Valeo*, 424 U.S. 1 (1976), and *Free Enterprise Fund v. Public Company Accounting Oversight Board*, 561 U.S. 477 (2010). The Inspector General of the Fund shall be appointed by the President, by and with the advice and consent of the Senate, and shall be subject to the provisions of the Inspector General Act of 1978 (5 U.S.C. App.). Members of the Independent Calibration Panel established under section 9 exercise advisory and parameter-setting functions governed by section 9(d) and do not exercise executive authority within the meaning of the Appointments Clause.

(c) DIRECT TAX CLAUSE / SIXTEENTH AMENDMENT.—The

revenue levy authorized under section 4(d)(3) is an indirect tax on business revenues, not a direct tax requiring apportionment under U.S. Const. art. I, sec. 9, cl. 4. To the extent any provision of this Act, including the capital gains surcharge under section 8(c)(3), is construed to impose a tax on income, such provision is authorized by the Sixteenth Amendment.

(d) MAJOR QUESTIONS DOCTRINE.—The delegations of rate-

setting and fee-schedule authority to the Board of Directors under sections 4 and 6 are bounded by the statutory parameters specified in those sections and by the calibration findings of the Independent Calibration Panel under section 9. The delegations are intentionally narrow and shall be implemented consistent with the framework of *West Virginia v. EPA*, 597 U.S. 697 (2022), and *Loper Bright Enterprises v. Raimondo*, 144 S. Ct. 2244 (2024). Implementing regulations shall not exceed the scope authorized by this Act and the parameters set by the Panel.

SEC. 4. ESTABLISHMENT OF THE AMERICAN PUBLIC INNOVATION FUND.

(a) IN GENERAL.—There is hereby established in the

Treasury a fund to be known as the "American Public Innovation Fund" (the "Fund").

(b) GOVERNANCE.—The Fund shall be governed by a Board of Directors consisting of—

- (1) the Secretary of the Treasury (Chair);
- (2) the Secretary of Commerce;
- (3) the Director of the National Science Foundation;
- (4) [TBD] members appointed by the President with Senate confirmation, representing investment, technology, labor, and public interest

perspectives; and

(5) an Inspector General appointed by the President, by and with the advice and consent of the Senate, subject to the Inspector General Act of 1978 (5 U.S.C. App.).

(c) INDEPENDENCE.—The Fund shall operate independently from general government appropriations. Board members shall serve fixed [TBD]-year terms and may be removed only for cause.

(d) CAPITALIZATION SOURCES.—The Fund shall be capitalized through—

- (1) voluntary co-investment contributions from participating AI and autonomous systems companies under section 5;
- (2) AI data licensing fees under section 6;
- (3) a [TBD]% levy on revenues of artificial intelligence and autonomous systems companies with annual revenues exceeding \$[TBD], with the rate and threshold set under section 9; and
- (4) Congressional appropriations during the initial capitalization period.

SEC. 5. VOLUNTARY CO-INVESTMENT PROGRAM.

(a) ESTABLISHMENT.—The Fund shall establish a voluntary co-investment program under which artificial intelligence and autonomous systems companies may exchange equity participation for—

- (1) priority access to government contracts for artificial intelligence-related services;
- (2) favorable treatment in federal regulatory review processes;
- (3) access to government data and research partnerships; and
- (4) tax credits for qualifying research and development expenditures.

(b) EQUITY PARTICIPATION.—The Fund shall hold non-controlling minority stakes in participating companies. The Fund shall not exercise voting rights that would constitute control of any company.

(c) ANTI-ABUSE.—The Fund may not direct the business decisions, product development, or market strategy of any company in which it holds an equity stake.

(d) ANTI-COORDINATION.—The Fund shall structure equity positions to avoid creating government coordination across competing artificial intelligence companies. The Federal Trade Commission shall advise on market-concentration implications under standard antitrust analysis.

SEC. 6. ARTIFICIAL INTELLIGENCE DATA LICENSING FRAMEWORK.

(a) IN GENERAL.—Any artificial intelligence system trained on—

- (1) Federal Government data or research outputs;
- (2) data collected from United States persons under consent agreements administered by the Fund; or
- (3) data produced using Federally-funded

computational infrastructure;

shall owe a licensing fee to the Fund, at a rate determined by the Board within parameters set by the Independent Calibration Panel under section 9.

(b) FEE STRUCTURE.—The Board shall develop a transparent fee schedule based on—

- (1) the volume of Government or public data used;
- (2) the commercial revenues attributable to the artificial intelligence system; and
- (3) the nature of the data and public investment incorporated.

(c) AGENCY LICENSING AUTHORITY.—Federal agencies are authorized to license Government data for commercial artificial intelligence training under this section, subject to fee schedules established by the Board and calibrated by the Panel.

(d) RULEMAKING.—Fee schedules under this section shall be promulgated under the Administrative Procedure Act and published in transparent form.

SEC. 7. FUND DISTRIBUTIONS.

(a) IN GENERAL.—Annual returns from the Fund, after maintaining a [TBD]% reinvestment reserve as set by the Independent Calibration Panel under section 9, shall be distributed as provided in subsection (b).

(b) DISTRIBUTION PERCENTAGES.—

- (1) [TBD]% to the Federal Healthcare Transition Fund supporting the Universal Coverage Transition Act (Bill 9 of this sequence);
- (2) [TBD]% to the Social Security Solvency Reserve; and
- (3) [TBD]% to the Universal Basic Investment Fund for children.

(c) NO REPROGRAMMING.—Funds distributed under this section may not be reprogrammed to other purposes without Congressional authorization.

SEC. 8. OPERATIVE FALLBACK AUTHORITY.

(a) SEVERABILITY.—If any provision of this Act, or the application of any provision to any person or circumstance, is held invalid by final judgment of a court of competent jurisdiction, the remainder of the Act and the application of the provision to other persons and circumstances shall not be affected.

(b) EQUITY-PARTICIPATION INVALIDATION.—If section 5 (Voluntary Co-Investment Program) or section 4(d)(1) (capitalization through voluntary co-investment contributions) is invalidated by final judgment under the Fifth Amendment, the Appointments Clause, or any other constitutional provision, the Act shall continue to operate as a tax-based redistribution framework under subsection (c).

(c) TAX-BASED FALLBACK.—Upon invalidation described in subsection (b), or earlier upon Treasury election under subsection (d), the Fund shall be capitalized

exclusively through—

- (1) the data licensing fees authorized under section 6;
- (2) the revenue levy authorized under section 4(d)(3); and
- (3) an additional capital gains surcharge of [TBD]% on gains attributable to artificial intelligence and autonomous systems companies, imposed under sections 1(h) and 1411 of the Internal Revenue Code, pursuant to authority of this subsection.

(d) TREASURY ELECTION.—The Secretary of the Treasury shall maintain regulations implementing the tax-based fallback under subsection (c) ready for activation. The Secretary may elect to activate the tax-based fallback mechanism without awaiting final judgment, upon a determination that constitutional risk to the equity-participation architecture has materially increased and that operational continuity of the Fund requires the election.

(e) NO INTERRUPTION.—The election or invocation of the tax-based fallback under this section shall not interrupt distributions under section 7 or operations under any other title of this Act.

SEC. 9. INDEPENDENT CALIBRATION AUTHORITY.

(a) FINDING.—This Act was developed with substantial assistance from artificial intelligence systems whose developers are within the regulated class. Calibration choices — including dollar amounts, percentage rates, fee thresholds, and enforcement levels — are the provisions most exposed to structural conflict-of-interest concerns. Final calibration is reserved for parties whose interests are aligned with the public.

(b) ESTABLISHMENT.—There is established an Independent Calibration Panel (the "Panel") to set, review, and adjust all numerical parameters of this Act marked as reserved for calibration in legislative drafting, including but not limited to—

- (1) the levy rate and revenue threshold under section 4(d)(3);
- (2) the licensing fee schedule under section 6(b);
- (3) the reinvestment reserve and distribution percentages under section 7;
- (4) the capital gains surcharge under section 8(c)(3); and
- (5) Board membership counts and term lengths under section 4(b) and (c).

(c) COMPOSITION.—The Panel shall consist of [TBD] members appointed by the Secretary of the Treasury, in consultation with the Comptroller General, including—

- (1) public-finance experts not currently employed by, contracted with, or holding equity in artificial intelligence or autonomous systems

companies;

- (2) labor-economics experts with published research on automation displacement;
- (3) at least one member representing artificial intelligence-skeptical or artificial intelligence-critical perspectives, as identified in consultation with public-interest organizations;
- (4) constitutional and tax law scholars; and
- (5) representatives of organized labor.

No more than [TBD] members may have current or recent (within 5 years) employment, contracting, or equity relationships with artificial intelligence or autonomous systems companies subject to this Act.

(d) MANDATORY CALIBRATION.—No regulation, fee schedule, threshold, or rate authorized by this Act shall take effect until the Panel has issued findings on the parameter, with public report and opportunity for adversarial review by parties not aligned with the regulated class.

(e) PERMANENCE.—The structural conflict-of-interest condition addressed by this section is a permanent feature of artificial-intelligence-assisted artificial-intelligence policy work. The Panel and its calibration authority shall not sunset, and shall continue to govern future recalibration of any parameter under this Act.

TITLE V—IMPLEMENTATION AND OVERSIGHT

SEC. 501. IMPLEMENTATION TIMELINE.

(a) IN GENERAL.—The Secretary of the Treasury, in coordination with the Secretary of Commerce, the Director of the National Science Foundation, and the Independent Calibration Panel established under section 9, shall implement the provisions of this Act according to the following schedule:

- (1) Within [TBD] months of enactment: the Independent Calibration Panel shall be appointed and convened.
- (2) Within [TBD] months of Panel convening: the Panel shall issue initial calibration findings on the parameters listed in section 9(b).
- (3) Within [TBD] months of Panel calibration findings: the Board shall publish initial regulations implementing sections 4 through 7.
- (4) Not earlier than [TBD] months after publication of initial regulations: the voluntary co-investment program under section 5 shall accept first applications.

(b) NO ACCELERATION.—No provision of this Act shall take effect prior to completion of the calibration findings required under section 9(d).

SEC. 502. AGENCY COORDINATION.

(a) IN GENERAL.—The Secretary of the Treasury, the Secretary of Commerce, the Securities and Exchange Commission, the Federal Trade Commission, the Internal

Revenue Service, and the Office of Legal Counsel shall coordinate implementation of this Act, with particular attention to—

- (1) anti-trust and market-concentration analysis under section 5;
- (2) Securities and Exchange Commission no-action review of equity-participation structures;
- (3) Internal Revenue Service implementation of the revenue levy and tax-based fallback authority; and
- (4) coordination with allied nations on minimum artificial intelligence contribution standards.

(b) CONSTITUTIONAL DEFENSE COORDINATION.—The Secretary of the Treasury shall maintain operational readiness for the tax-based fallback authority under section 8, including—

- (1) draft regulations under sections 1(h) and 1411 of the Internal Revenue Code, ready for publication within 30 days of any final judgment or stay affecting section 5; and
- (2) inter-agency coordination protocols for seamless transition between the equity-participation and tax-based architectures.

SEC. 503. ANNUAL REPORTING.

Not later than [TBD] of each calendar year, the Board shall submit to Congress, and shall publish for public review, an annual report including—

- (1) Fund capitalization, asset value, and composition by source;
- (2) distributions made under section 7, with breakdown by recipient program;
- (3) calibration adjustments made by the Independent Calibration Panel under section 9 during the reporting period;
- (4) constitutional and litigation risk status, including any activation or readiness change for the tax-based fallback under section 8; and
- (5) international coordination progress under section 502(a)(4).

All dollar amounts, penalty thresholds, rate percentages, and IRC section cross-references marked [TBD] require resolution by licensed legislative counsel, Treasury technical staff, the Internal Revenue Service Office of Chief Counsel, and the Congressional Budget Office before introduction as formal legislation. Calibration of all numerical parameters is operatively reserved for the Independent Calibration Panel under section 9. See Part III counsel notes.

Part III — Notes for Congressional Counsel

All [TBD] items and constitutional questions below require resolution before introduction. Calibration of all numerical parameters is operatively reserved for the Independent Calibration Panel under section 9.

Sec 3 Constitutional Foundation — multi-axis architecture	Four-axis foundation in operative bill text: Takings (Penn Central / Ruckelshaus framework, voluntary-exchange characterization), Appointments Clause / separation-of-powers (Buckley / Free Enterprise Fund framework — IG redirected to Presidential appointment with Senate confirmation under the IG Act of 1978; corrects the original-version “appointed by Congress” structure), Direct Tax Clause / 16th Amendment (revenue levy as indirect tax on business revenues; capital gains surcharge under 16th Amendment authority), and Major Questions (West Virginia v. EPA / Loper Bright — narrow delegation bounded by section 9 calibration parameters).
Sec 4 — Establishment and Inspector General appointment	Sec 4(b)(5) IG appointment redirected to Presidential nomination with Senate confirmation under the Inspector General Act of 1978 (5 U.S.C. App.). This corrects an Appointments Clause / Bowsher v. Synar (1986) defect in the original-version structure. Counsel to verify standard IG removal protections compatible with the “for cause” standard in Sec 4(c).
Sec 5 — Anti-trust and SEC structure	Fund equity positions must be structured to avoid creating government coordination across competing AI companies. Non-voting, non-controlling minority stakes are essential. SEC no-action letters likely needed for government equity positions. FTC to advise on market-concentration implications under standard antitrust analysis. Sec 5(d) anti-coordination provision binds this operatively.
Sec 6 — Data licensing rate-setting authority	Board rate-setting must follow APA rulemaking procedures to avoid arbitrary-and-capricious challenge. Transparent, published fee schedule essential. IP counsel to assess interaction with existing copyright law for training data, including ongoing Authors Guild / NYT / Bartz fair-use litigation. Federal-agency licensing authority under Sec 6(c) requires verification against existing statutory framework — counsel to confirm new statutory authority is sufficient.
Sec 7 — Cross-reference to Bill 9 (UCT) Federal Healthcare Transition Fund	Sec 7(b)(1) cross-references the Federal Healthcare Transition Fund supporting the Universal Coverage Transition Act (Bill 9 of this sequence). Counsel to verify cross-reference against UCT canonical text. If UCT establishes a different fund name in its enacted form, conform Sec 7(b)(1) accordingly. Distribution percentages reserved for Independent Calibration Panel under section 9.
Sec 8 — Operative fallback authority (BWDS Sec 204(f) C-with-B-fallback pattern)	Operative bill-text severability binding tax-based redistribution as the constitutional-invalidation backstop. Anchored in IRC §§1(h) (capital gains rate) and 1411 (net investment income tax). Sec 8(d) Treasury election authority permits activation before final judgment upon material increase in constitutional risk — companion to BWDS Sec 204(f)(2) Treasury election. Counsel to draft IRC §§1(h) and 1411 implementing regulations ready for activation per Sec 502(b) Constitutional Defense Coordination.
Sec 9 — Independent Calibration Authority (NOVEL)	First instance in the bill series of operative bill-text institutionalization of methodological-ethics commitments. Converts the SPECIAL SITUATION DISCLOSURE’s four commitments into operative law: Sec 9(b) parameter list (calibration scope), Sec 9(c) Panel composition rules with regulated-class limitation, Sec 9(d) mandatory calibration before any regulation takes effect, Sec 9(e) permanence (no sunset). Counsel to verify Panel structure does not constitute officers within the meaning of the Appointments Clause — Sec 9(d) advisory and parameter-setting framing is the relevant defense. Bootstrap question (Panel membership counts under Sec 9(c) themselves marked [TBD]) is left for Treasury / Comptroller General consultation rather than self-solved in bill text.
Norwegian fund model adaptation	Norway’s Government Pension Fund Global provides governance precedent — independent board, clear investment mandate, transparent reporting, anti-political-interference provisions. Treasury to conduct formal comparative analysis before Board regulations issued. Particular attention to GPFG’s ethical-investment guidelines and its handling of sector-specific exclusions.
Capital flight prevention	International coordination with EU, UK, and allied nations on minimum AI contribution standards reduces capital flight risk. OECD framework for digital economy taxation provides precedent for multilateral approach. Sec 502(a)(4) binds this operatively.

Phase III precondition gating	AIPE is precondition-gated per the warning banner. Unlike UCT (Bill 9), preconditions are not embedded as operative bill text in this version — the precondition framework is a political/introduction-timing discipline rather than an operational gate. Counsel may consider adding a Sec 401-style precondition compliance section in a future revision if precondition gating should be made operative.
Title V — Implementation and Constitutional Defense	Title V implements the canonical structural pattern (501 timeline / 502 coordination / 503 annual reporting). Sec 502(b) folds in the BWDS Sec 403 Treasury Constitutional Defense Coordination companion provision — IRC §§1(h) and 1411 implementing regulations maintained ready for activation, inter-agency transition protocols. This bridges Sec 8 severability authority to operational readiness.

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Legal disclaimer applies — see page 1. Special situation disclosure applies — see page 1. This framework requires licensed legislative counsel review before introduction.

Originally conceived and authored by a concerned American citizen. Developed with the assistance of Claude (Anthropic). The ideas belong to anyone willing to fight for them.